

YOUNG BLOOD

New and emerging players in India's diagnostics market

DIGITAL PLATFORMS

- Netmeds
- TATA 1mg
- Meddo
- Lybrae
- Practo
- PharmEasy (Thyrocare)
- Credihealth
- MediBuddy
- DoctorC
- Apollo 24/7
- Healthians
- Healthhub Q4
- Mfine

HOSPITAL CHAINS

- MaxLabs
- Apollo Diagnostics
- Aster Labs
- HealthMap
- Triesta Sciences (HCG)
- Adani Healthcare

PHARMA COMPANIES AND PE-BACKED CHAINS

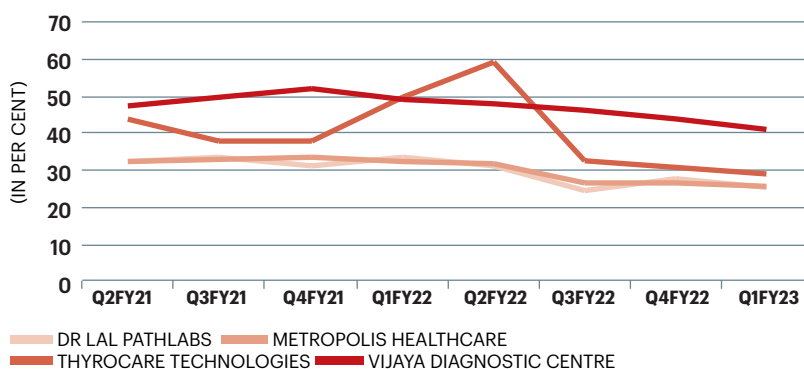
- Lupin Diagnostics
- Torrent Diagnostics
- PathKind
- MyLab
- Medplus

REGIONAL DIAGNOSTIC CHAINS

- Orange Health
- Atulaya
- Redcliffe Diagnostics

TESTING TIMES

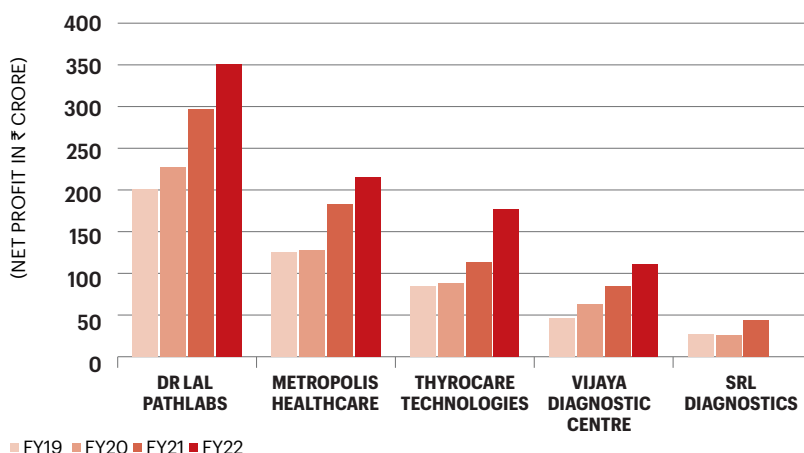
The quarterly operating profit margin of diagnostic firms came under pressure post Covid-19



FIGURES ARE QUARTERLY OPERATING PROFIT MARGINS; SOURCE ACE EQUITY

FIGHTING FIT

Thanks to the pandemic, diagnostic companies witnessed a sharp growth in net profit



FIGURES ON CONSOLIDATED PRIORITY; SOURCE ACE EQUITY

industry ROCE. The report says: "We expect ROCE to settle down to around 20-25 per cent by FY27E, implying Ebitda margin of around 20 per cent. Ebitda margin of Dr Lal and Metropolis has already declined by 300 bps (vs pre-Covid-19) to 23 per cent, but we expect it to steadily contract by a further 300-400 bps."

Top these challenges with rising competition from new entrants in the diagnostic market—

pharmaceutical companies, online aggregators, hospital chains, large conglomerates—and pure-play diagnostic companies' struggle to sustain growth has become a harsh reality.

THE DRAWING BOARD

Since the Covid-19 pandemic struck India, the fragmented diagnostics industry has witnessed very clear signs of consolidation. Ac-

cording to market analysts, organised players hold about 15 per cent of the ₹67,500-crore diagnostics industry, which is growing at 8-9 per cent annually. The opportunity for growth through M&As is clear and visible. For instance, Dr Lal PathLabs acquired Mumbai-based Suburban Diagnostics in October 2021 for ₹925 crore. It also plans to expand into south India with a reference laboratory in Bengaluru,